

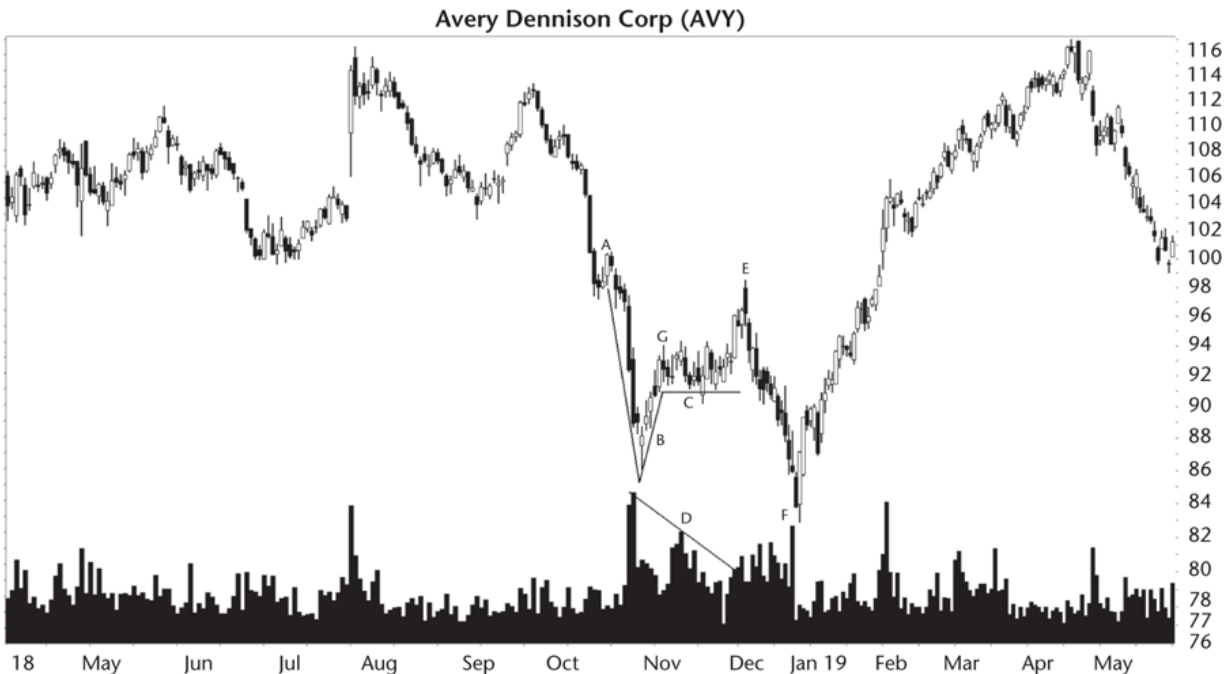


Figure 70.1 This is what an ideal extended V-bottom (ABC) looks like.

After the extension completes, price resumes its upward move, rising to E. An upward breakout happens when price rises above the top of the high at G (the top of the short uptrend leading to the extension).

Price completes a throwback to the breakout price but continues lower to F in this example. That decline is not what you like to see after an extended V-bottom, though.

Identification Guidelines

Table 70.1 shows identification guidelines for the extended V-bottom. Refer to **Figure 70.2** for additional flavor.

Appearance. The extended V-bottom begins with the swift, straight-line drop at A. Price bottoms at B and retraces a portion of the drop, forming the bottom and right side of the V (F or C). Price moves diagonally higher in the extension at D with a drop at E, marking the end of the extension. After that, price meanders higher.

I show this extended V-bottom for one reason, the quick drop at E. Before I describe that, let me say that this is not an ideal extended V-bottom. Price rises to F and that looks like the mirror of the drop from A to B, but a lot